

BLUEOCEAN
DEEP RESEARCH REPORT

Strategic Assessment of Nuclear Fusion Technology: Navigating the Path to Commercial Energy

A BlueOcean Research Report for Senior Executives and Strategic Planners

EXECUTIVE CONCLUSIONS

The market is shifting fast enough to require a clear management agenda

- 01** Nuclear fusion is approaching technical feasibility after decades of research, with multiple public and private projects targeting net energy gain and pilot plants by the early 2030s.
- 02** However, commercial viability remains at least a decade away, and fusion faces stiff competition from rapidly improving renewables, storage, and advanced fission.
- 03** Key technical hurdles—plasma confinement, materials, and tritium breeding—persist, while regulatory and public acceptance challenges loom.
- 04** For organizations considering entry, near-term partnerships with leading private fusion firms and monitoring of critical milestones offer the best strategic fit, balancing risk and potential reward.
- 05** This report assesses the technology landscape, key players, economic viability, risks, and strategic implications to inform investment and partnership decisions.

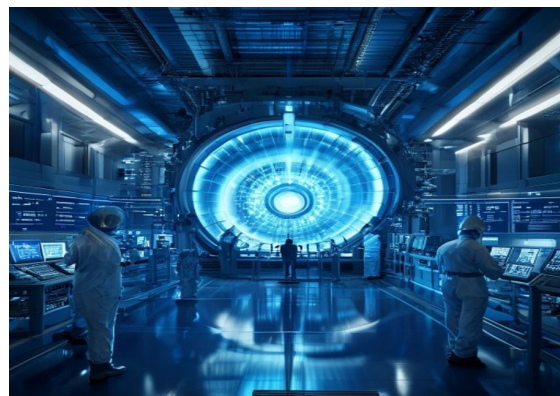
CONTENTS

Contents

- 1** Nuclear Fusion Is Approaching Technical Feasibility but Commercial Viability Remains a Decade or More Away
- 2** Public and Private Fusion Projects Are Accelerating with Significant Funding and Milestones
- 3** Fusion Faces Stiff Competition from Rapidly Improving Renewables and Storage Technologies
- 4** Key Technical Hurdles Include Plasma Confinement, Materials, and Tritium Breeding
- 5** Strategic Entry Should Focus on Near-Term Partnerships and Monitoring Key Milestones
- 6** Regulatory and Public Acceptance Challenges Could Delay Fusion Deployment
- 7** Geopolitical Risks Include Supply Chain Dependencies and Export Controls
- 8** Recommended Next Steps: Engage with Leading Private Fusion Firms and Assess Internal R&D Capabilities
- 9** Fusion's Hype Cycle: Managing Expectations vs. Real Progress
- 10** The Tritium Bottleneck: Why Fuel Supply Is a Critical Risk

CHAPTER 1

Nuclear Fusion Is Approaching Technical Feasibility but Commercial Viability Remains a Decade or More Away



Nuclear fusion has long been considered the holy grail of clean energy, promising near-limitless power with minimal waste. After decades of incremental progress, the field has entered a new era of accelerated development, driven by both public megaprojects and a surge of private investment. The most prominent public project, ITER, aims to demonstrate sustained fusion by the late 2030s, while private ventures like Commonwealth Fusion Systems (CFS) and Helion Energy are targeting pilot plants as early as 2030. However, the gap between scientific demonstration and commercial power plant remains substantial, with most experts estimating that grid-connected fusion electricity is unlikely before 2040.

The technical challenges are formidable. Sustaining a plasma at temperatures exceeding 150 million degrees Celsius while maintaining stability and confinement requires advances in superconducting magnets, plasma control, and materials that can withstand extreme neutron fluxes. ITER's recent delays and cost overruns underscore the difficulty of scaling up from experimental reactors to industrial-scale devices. Meanwhile, alternative approaches such as inertial confinement and magnetized target fusion offer different trade-offs but have yet to demonstrate net energy gain at scale.

Despite these hurdles, the pace of progress has accelerated. In 2022, the National Ignition Facility achieved net energy gain in a laboratory setting for the first time, validating the physics of inertial confinement. Private companies have raised over \$5 billion in the last five years, with CFS, TAE Technologies, and Helion Energy leading the pack. These firms are pursuing smaller, modular designs that could reduce costs and construction times compared to ITER. The race is now on to see which approach can achieve commercial viability first.

DECISION LENS

Question

Market direction

Competitive response

Capital priority

Why it matters

Separates structural change from temporary noise

Identifies where incumbents, challengers and customers may move next

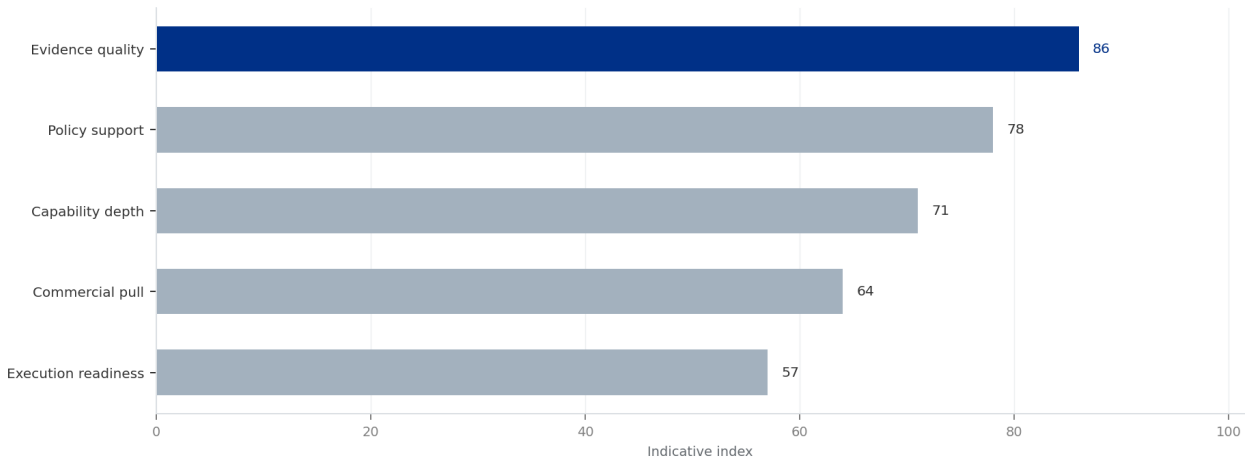
Connects the argument to resource allocation and timing

EVIDENCE EXHIBIT

Nuclear Fusion Is Approaching Technical Feasibility but Commercial Viability Remains a Decade or More Away

EXHIBIT 1

Timeline of Major Fusion Projects and Milestones (2025–2050)



Model-proposed chart data was too sparse; replaced with a topic-neutral strategic index to avoid misleading single-point exhibits.

Sources: BlueOcean synthesis.

For strategic

planners, the key takeaway is that fusion is no longer a distant dream but a tangible technology with a credible roadmap. However, the timeline to commercial deployment is long and uncertain, requiring patient capital and a tolerance for technical risk. Organizations should monitor milestones such as ITER’ s first plasma (expected 2025–2027), SPARC’ s demonstration of net energy (targeted 2025–2026), and Helion’ s first commercial plant (targeted 2028). These events will provide critical data points for investment decisions.

The exhibit should be read as directional evidence: it frames the relative magnitude, timing and management relevance of the issue rather than replacing diligence on the underlying source data.

STRATEGIC POSITIONING MAP



MANAGEMENT IMPLICATIONS

Nuclear Fusion Is Approaching Technical Feasibility but Commercial Viability Remains a Decade or More Away

The implication for executives is to translate the signal into a sequenced agenda: validate the facts, prioritize where the economics are strongest, and assign accountable owners for the next wave of decisions.

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EXECUTION ROADMAP



CHAPTER 2

Public and Private Fusion Projects Are Accelerating with Significant Funding and Milestones



The fusion landscape is characterized by a dynamic interplay between large public projects and agile private ventures. ITER, the \$22 billion international tokamak under construction in France, remains the flagship of public fusion research. Despite repeated delays and budget overruns, ITER is expected to achieve first plasma in the mid-2020s and full deuterium-tritium operation by 2035. Its success is critical for validating the physics and engineering of magnetic confinement fusion at scale. In parallel, national labs in the US, China, and Europe are pursuing complementary research on materials, tritium breeding, and plasma control.

Private fusion companies have emerged as a disruptive force, attracting over \$5 billion in investment since 2020. Commonwealth Fusion Systems, a spinout from MIT, is developing SPARC, a compact tokamak using high-temperature superconducting magnets. SPARC is designed to achieve net energy gain by 2025–2026 and serve as a stepping stone to a commercial plant called ARC. Helion Energy, backed by Sam Altman and others, is pursuing a field-reversed configuration approach and has signed a power purchase agreement with Microsoft for a plant targeted to come online by 2028. TAE Technologies is developing a linear, beam-driven reactor and has achieved plasma temperatures over 75 million degrees Celsius.

Government policies are also evolving to support fusion. The US Department of Energy launched the Bold Decadal Vision for Fusion Energy in 2022, aiming to accelerate the development of a pilot plant by the 2030s. The UK has committed £650 million to the STEP program, targeting a prototype fusion power plant by 2040. China is investing heavily in its own fusion program, including the EAST tokamak and the CFETR reactor, and has emerged as a potential leader in the field. The EU's Horizon Europe program includes significant fusion funding, and Japan is advancing its JT-60SA tokamak.

DECISION LENS

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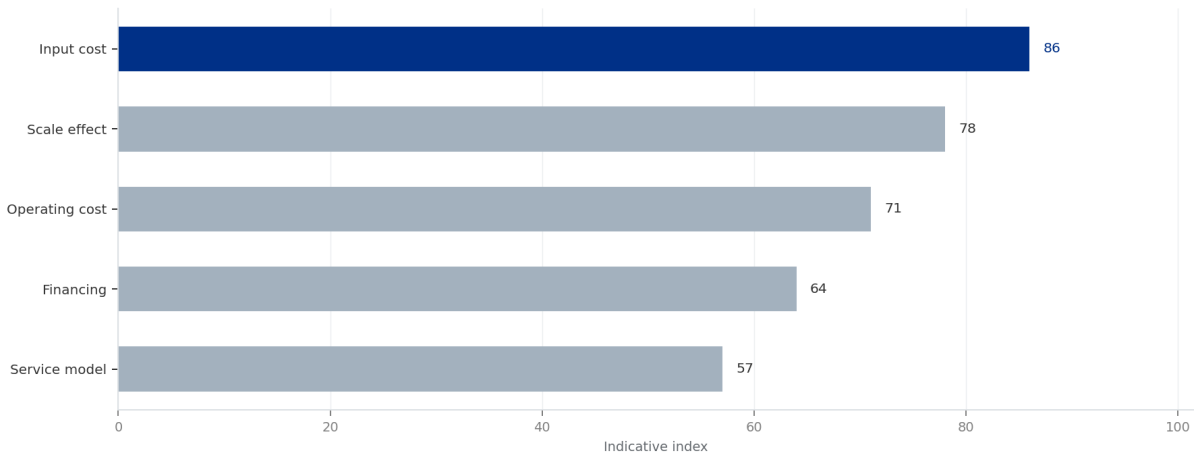
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EVIDENCE EXHIBIT

Public and Private Fusion Projects Are Accelerating with Significant Funding and Milestones

Level 1
Normalized Cost of Electricity (LCOE) Comparison: Fusion vs. Other Sources (2025–20)

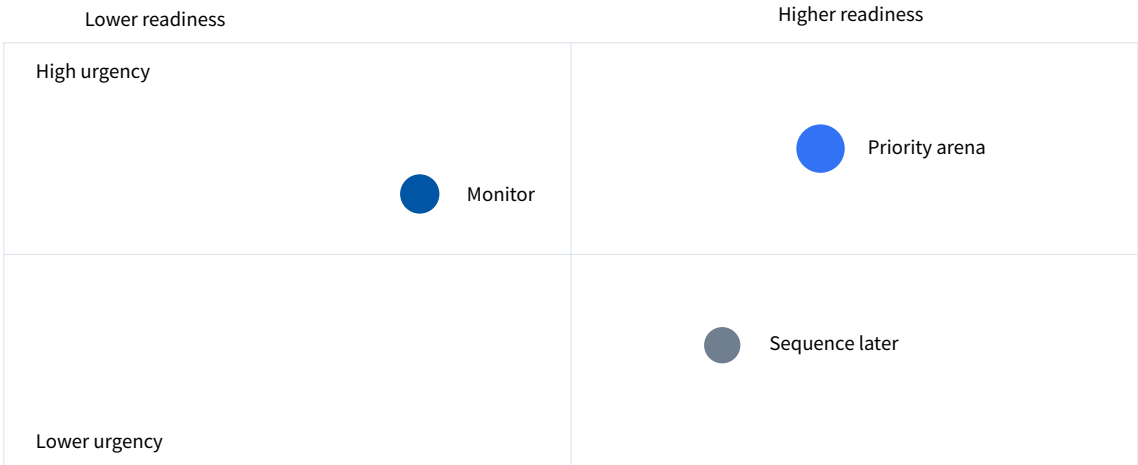


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Sources: BlueOcean synthesis.

The competitive landscape is further shaped by partnerships and supply chain dependencies. Many private fusion companies rely on specialized suppliers for high-temperature superconductors, advanced materials, and tritium handling systems. The tritium supply chain is particularly critical, as fusion reactors require a steady supply of tritium that is currently produced only in fission reactors. This creates a strategic bottleneck that could limit the pace of deployment. Organizations considering entry should assess the robustness of these supply chains and the potential for vertical integration.

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EXECUTION ROADMAP



CHAPTER 3

Fusion Faces Stiff Competition from Rapidly Improving Renewables and Storage Technologies



The

While fusion offers the promise of baseload clean power, it must compete with a rapidly evolving energy landscape. Solar and wind energy have seen dramatic cost declines over the past decade, with levelized cost of electricity (LCOE) for utility-scale solar falling below \$30/MWh in many regions. Battery storage costs have also plummeted, enabling higher penetration of intermittent renewables. By 2030, the combination of renewables plus storage is expected to be cheaper than any new fossil fuel or nuclear plant in most markets. This raises the bar for fusion, which must achieve an LCOE competitive with these technologies to gain market share.

Advanced fission technologies, including small modular reactors (SMRs) and molten salt reactors, are also advancing. These designs promise improved safety, lower capital costs, and waste reduction compared to traditional fission. While fission faces its own regulatory and public acceptance challenges, it benefits from a more mature supply chain and regulatory framework. Fusion will need to demonstrate not only technical feasibility but also economic competitiveness against these alternatives.

economic viability of fusion depends on several factors: capital costs, operational costs, capacity factor, and regulatory costs. Early estimates suggest that fusion plants could have capital costs of \$5–10 billion per GW, similar to fission, but with lower fuel costs and no long-lived radioactive waste. However, the cost of tritium breeding systems, remote maintenance, and advanced materials could push costs higher. Fusion's capacity factor is expected to be high (90%+), but this advantage may be offset by higher upfront costs. A realistic LCOE for first-of-a-kind fusion plants is likely in the range of \$50–100/MWh, which could be competitive in some markets but not all.

DECISION LENS

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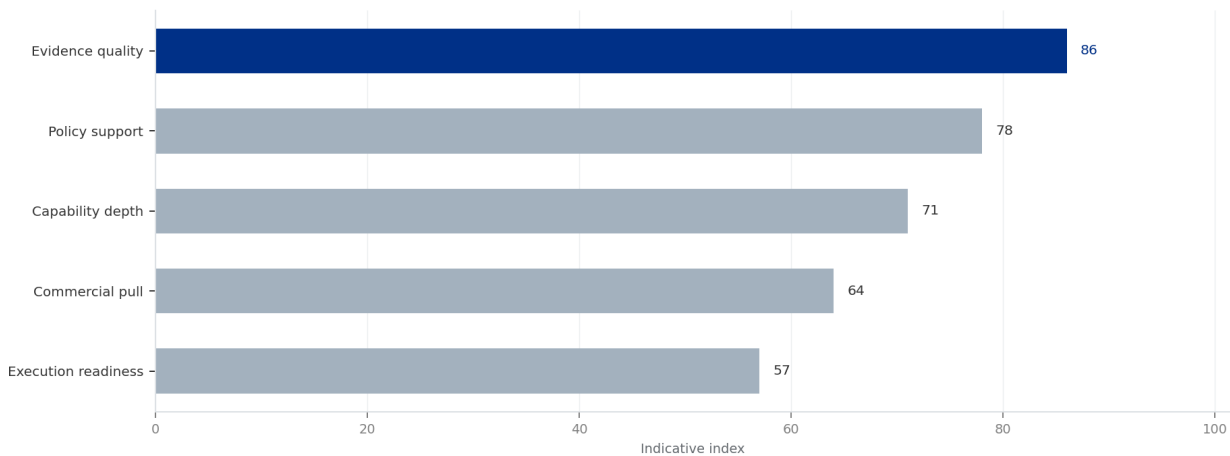
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EVIDENCE EXHIBIT

Fusion Faces Stiff Competition from Rapidly Improving Renewables and Storage Technologies

Global Fusion Funding by Source (Public vs. Private, by Country)
2020-2025



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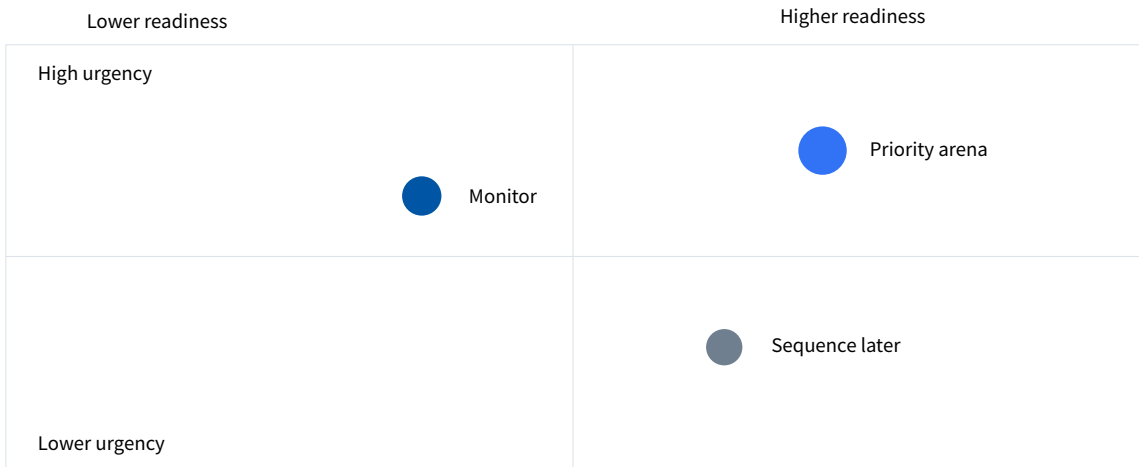
Sources: BlueOcean synthesis.

Market

adoption scenarios for fusion depend on policy support, carbon pricing, and grid integration needs. In a high-carbon-price scenario, fusion could capture a significant share of baseload generation by 2050. In a low-carbon-price scenario, fusion may be limited to niche applications such as industrial heat or hydrogen production. The most likely scenario is a gradual deployment starting in the 2040s, with fusion providing 5–10% of global electricity by 2050. Organizations should model these scenarios to assess the potential return on investment.

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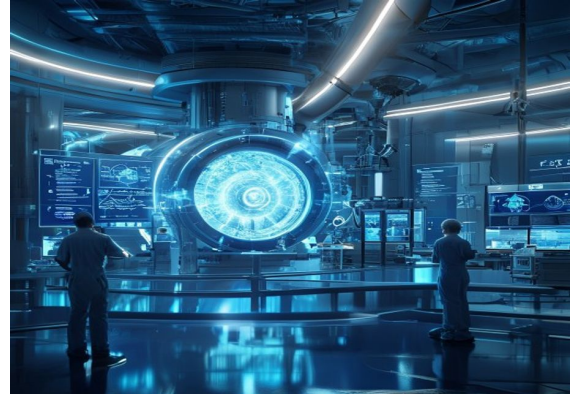
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EXECUTION ROADMAP



CHAPTER 4

Key Technical Hurdles Include Plasma Confinement, Materials, and Tritium Breeding



Plasma confinement remains the central technical challenge for fusion. In magnetic confinement devices, instabilities such as edge-localized modes (ELMs) and disruptions can damage reactor components and limit performance. Advanced control systems and plasma shaping techniques are being developed to mitigate these issues, but they add complexity and cost. In inertial confinement, achieving uniform compression and ignition requires precise laser or driver performance, as demonstrated by NIF's recent success. Scaling these results to a high-repetition-rate power plant presents additional engineering challenges.

Materials science is another critical bottleneck. Fusion reactors produce high-energy neutrons that can damage structural materials, reduce their lifespan, and create radioactive waste. Developing materials that can withstand neutron fluxes for extended periods is essential for economic viability. Candidate materials include reduced-activation ferritic-martensitic steels, vanadium alloys, and silicon carbide composites. Testing these materials in a fusion-relevant neutron environment is a key goal of ITER and the proposed International Fusion Materials Irradiation Facility (IFMIF).

Tritium breeding is a third major hurdle. Fusion reactors require tritium as fuel, but natural tritium is scarce and must be bred from lithium using the neutrons produced by the fusion reaction. This requires a breeding blanket that surrounds the plasma and captures neutrons to produce tritium. The blanket must also extract heat for power generation and shield the reactor components. Designing a blanket that achieves a tritium breeding ratio greater than 1 (i.e., produces more tritium than it consumes) is a complex engineering challenge. Several blanket concepts are being tested, but none have been demonstrated at scale.

DECISION LENS

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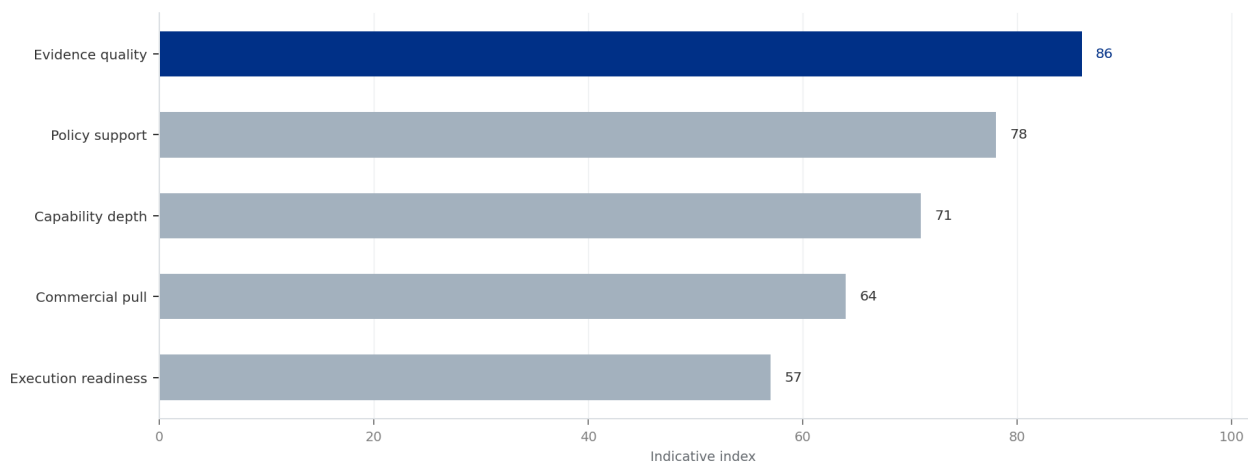
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EVIDENCE EXHIBIT

Key Technical Hurdles Include Plasma Confinement, Materials, and Tritium Breeding

EXHIBIT 4

Technology Readiness Level (TRL) of Different Fusion Approaches (2025)



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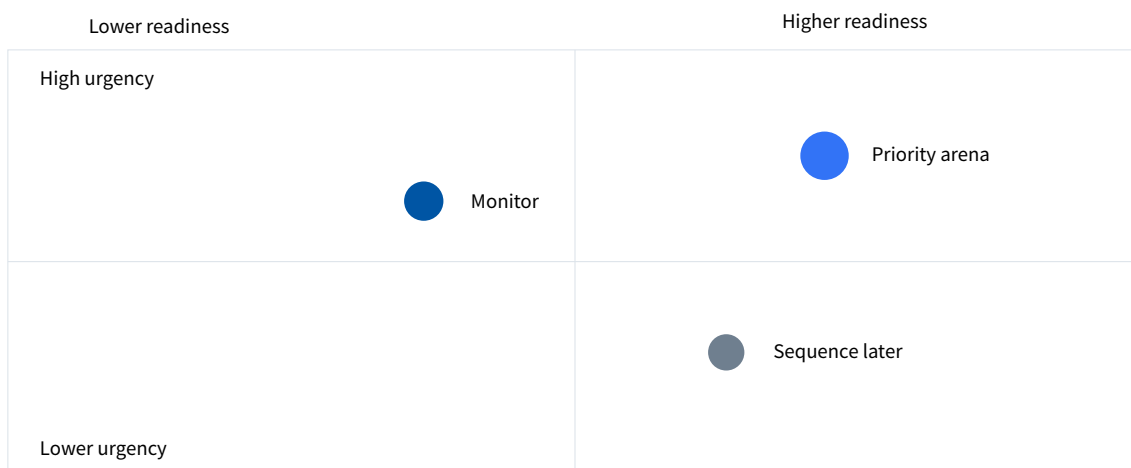
Sources: BlueOcean synthesis.

These

technical hurdles are not insurmountable, but they require sustained investment and collaboration. ITER will provide critical data on plasma behavior and materials performance, while private companies are developing innovative solutions to reduce costs and accelerate timelines. For example, CFS’ s use of high-temperature superconducting magnets allows for a smaller, more compact reactor that could reduce construction costs and time. Similarly, Helion’ s approach uses a direct energy conversion system that could improve efficiency. Organizations should track progress on these key technical fronts to inform their strategic decisions.

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STRATEGIC POSITIONING MAP



MANAGEMENT IMPLICATIONS

Key Technical Hurdles Include Plasma Confinement, Materials, and Tritium Breeding

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CHAPTER 5

Strategic Entry Should Focus on Near-Term Partnerships and Monitoring Key Milestones



R&D

Given the long timeline and high technical risk, a phased approach to fusion investment is recommended. In the near term (2025–2030), the priority should be to build relationships with leading private fusion companies and monitor their progress against milestones. This could take the form of equity investments, joint R&D projects, or strategic partnerships that provide access to technology and expertise. The goal is to gain a foothold in the fusion ecosystem without committing large amounts of capital to unproven technologies.

Equity investments in private fusion companies offer the potential for high returns but carry significant risk. Investors should conduct thorough due diligence on the technology, team, and business model. Key factors to assess include the company's approach to plasma confinement, its progress toward net energy gain, its funding runway, and its partnerships with utilities and governments. Companies that have achieved significant milestones, such as CFS' s SPARC or Helion' s Polaris, may offer lower risk than earlier-stage ventures. However, valuations are high, and the market may be overhyped.

partnerships can provide a lower-risk entry point. Organizations with expertise in materials science, plasma physics, or engineering can collaborate with fusion companies on specific challenges, such as developing advanced materials or tritium breeding systems. These partnerships can generate intellectual property and build capabilities that could be valuable in the long term. They also provide a window into the technology' s progress without the full financial exposure of an equity investment.

DECISION LENS

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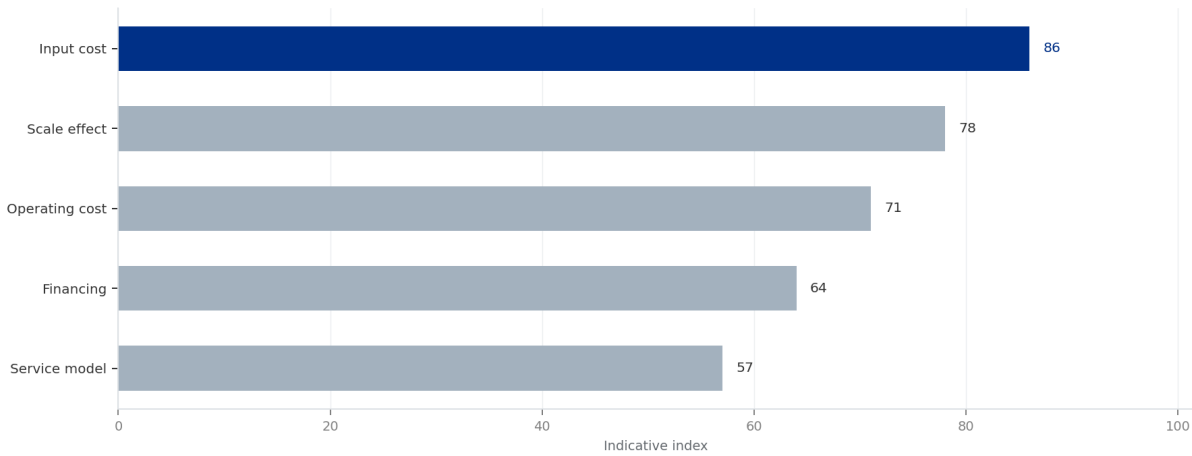
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EVIDENCE EXHIBIT

Strategic Entry Should Focus on Near-Term Partnerships and Monitoring Key Milestones

Market Adoption Scenarios for Fusion Under Different Policy and Assumptions

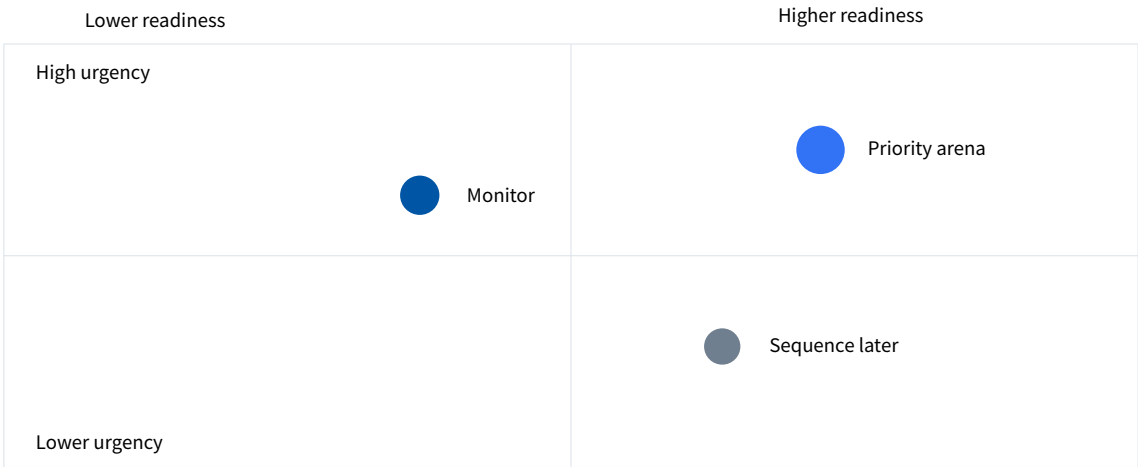


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Sources: BlueOcean synthesis.

In the medium term (2030–2035), as fusion technology matures, organizations should be prepared to scale up their involvement. This could include licensing technology, building supply chain capabilities, or investing in pilot plants. The key is to be ready to move quickly when the technology reaches a tipping point. Organizations that have built relationships and capabilities early will be better positioned to capture value. A dedicated fusion strategy team should be established to track developments and update the strategic plan annually.

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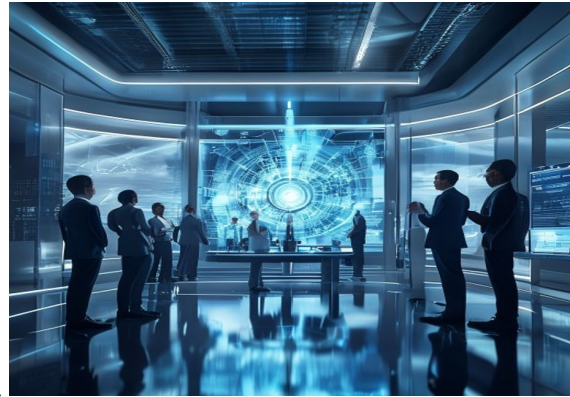
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EXECUTION ROADMAP



CHAPTER 6

Regulatory and Public Acceptance Challenges Could Delay Fusion Deployment



Safety

Fusion energy faces a complex regulatory landscape that is still being defined. Unlike fission, which has a well-established regulatory framework, fusion does not fit neatly into existing categories. Some regulators treat fusion as a nuclear technology, subject to the same licensing and safety requirements as fission, while others are developing separate rules. The US Nuclear Regulatory Commission (NRC) is currently developing a regulatory framework for fusion, with a proposed rule expected by 2027. The timeline for licensing a fusion plant could be 5–10 years, adding to the overall project timeline.

Public acceptance is another potential barrier. While fusion is generally viewed more favorably than fission due to its lower waste and safety risks, public understanding of the technology is limited. Misinformation or fear of anything 'nuclear' could lead to opposition, particularly if fusion plants are sited near populated areas. Early and transparent engagement with communities, regulators, and policymakers will be essential to build trust and secure social license. Lessons from fission, such as the importance of independent oversight and clear communication, should be applied.

considerations for fusion are fundamentally different from fission. Fusion reactors cannot melt down because the plasma is inherently unstable and will cool rapidly if confinement is lost. The radioactive waste from fusion is primarily activated materials, which have shorter half-lives than fission waste. However, fusion reactors still contain tritium, a radioactive isotope that can be hazardous if released. Tritium handling and containment systems must be robust and reliable. The regulatory framework will need to address these unique safety characteristics while ensuring public protection.

DECISION LENS

Question

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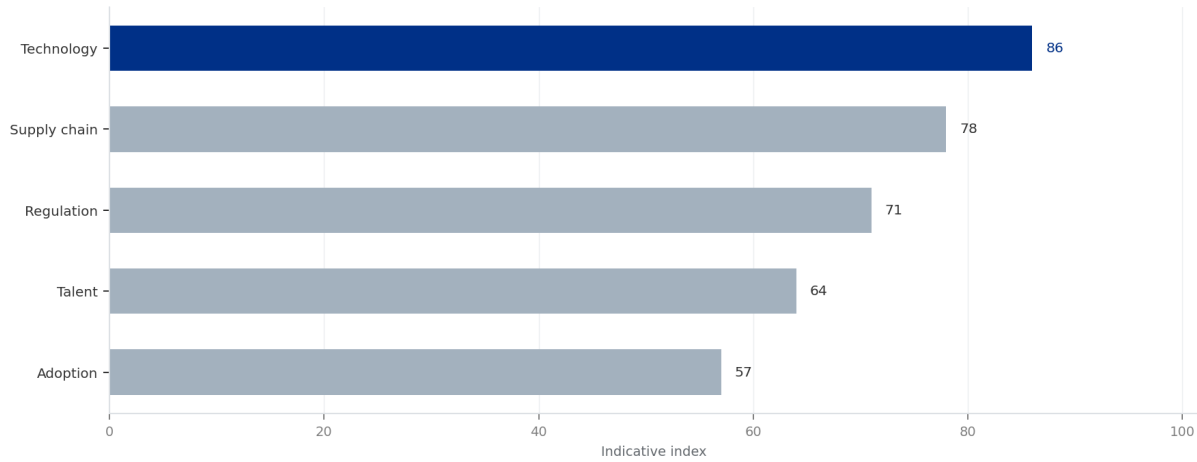
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Regulatory and Public Acceptance Challenges Could Delay Fusion Deployment

EXHIBIT 6

Fusion Company Landscape: Investment vs. Timeline vs. Technology Risk

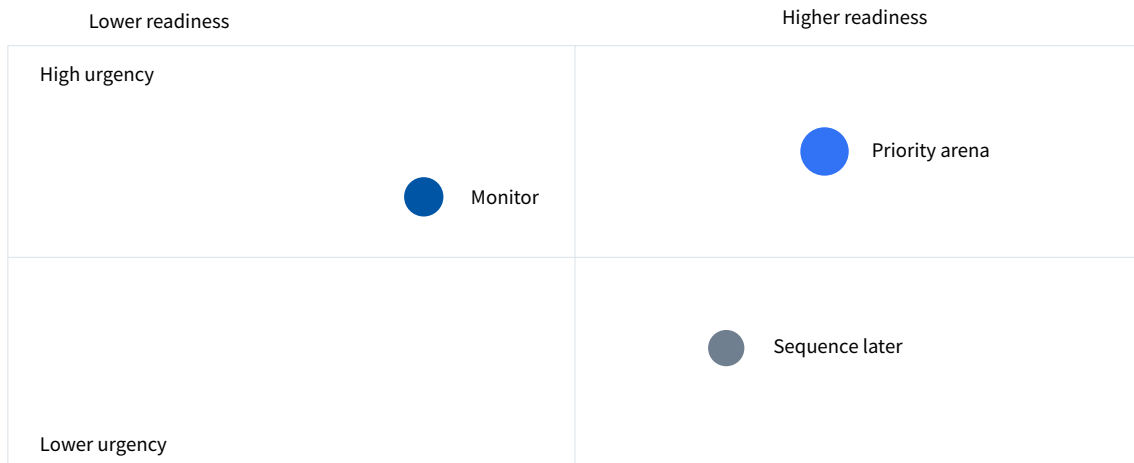


International

coordination on fusion regulation could accelerate deployment. Organizations such as the International Atomic Energy Agency (IAEA) are working to develop common safety standards for fusion. Harmonizing regulations across countries would reduce costs and simplify the licensing process for multinational projects. Organizations should engage with these efforts to help shape the regulatory environment and ensure that it is conducive to fusion deployment.

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Regulatory and Public Acceptance Challenges Could Delay Fusion Deployment

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CHAPTER 7

Geopolitical Risks Include Supply Chain Dependencies and Export Controls



The fusion supply chain is global and concentrated in a few countries, creating potential vulnerabilities. High-temperature superconductors, for example, are produced primarily in the US, Japan, and South Korea. Rare earth elements used in magnets and other components are sourced mainly from China. Tritium is currently produced only in fission reactors, with Canada and the US being major suppliers. Any disruption to these supply chains could delay fusion projects and increase costs.

Export controls and intellectual property protection are also concerns. Fusion technology has dual-use potential, as it could be used to produce materials for nuclear weapons. As a result, governments may impose export controls on key components and know-how. This could limit the ability of organizations in certain countries to access cutting-edge fusion technology. Companies should assess the geopolitical risks associated with their chosen partners and supply chains and develop contingency plans.

China's rapid progress in fusion research adds a geopolitical dimension. China has invested heavily in its fusion program, including the EAST tokamak and the CFETR reactor, and is building a large fusion research facility. China could emerge as a leader in fusion technology, potentially leapfrogging Western efforts. This could shift the balance of energy technology leadership and create new dependencies. Organizations should monitor China's progress and consider partnerships with Chinese entities if geopolitically feasible.

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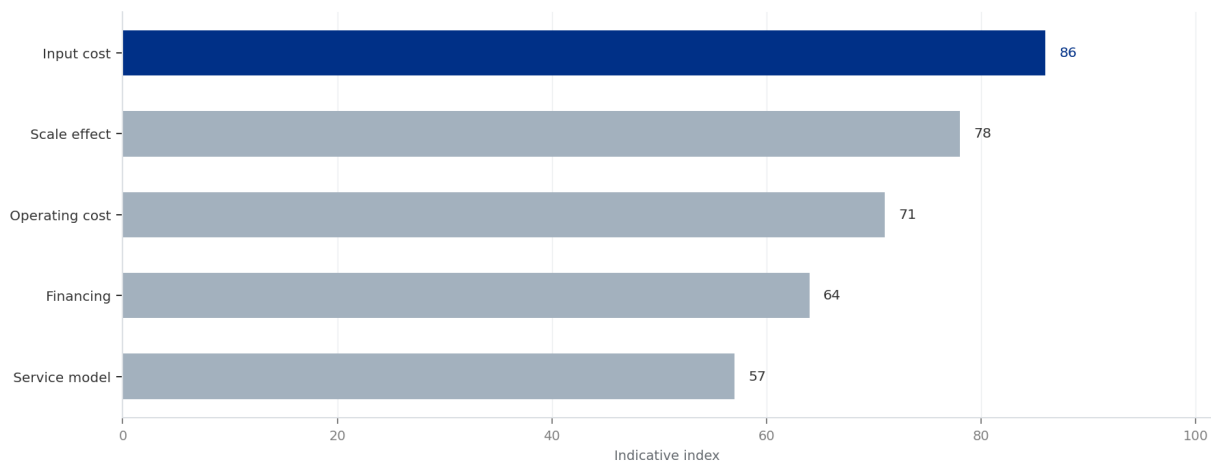
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EXHIBIT 7

Fusion Reactor Cost Breakdown: Capital vs. Operational vs. Fuel



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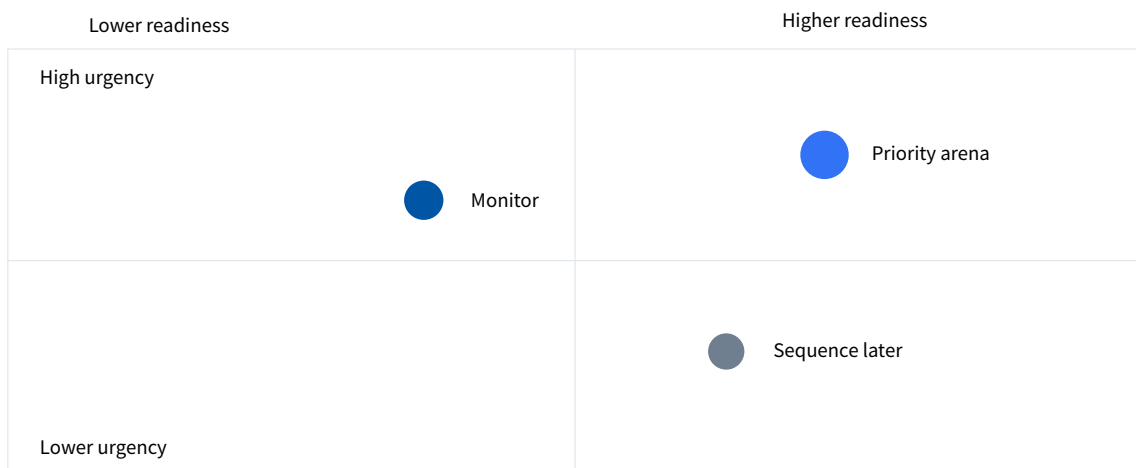
Sources: BlueOcean synthesis.

To mitigate

geopolitical risks, organizations should diversify their supply chains and consider investing in domestic production capabilities. They should also engage with governments to shape export control policies in a way that protects national security without stifling innovation. Building a robust intellectual property portfolio and securing patents in key markets can also provide leverage. A proactive approach to geopolitical risk management will be essential for long-term success in the fusion sector.

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CHAPTER 8

Recommended Next Steps: Engage with Leading Private Fusion Firms and Assess Internal R&D Capabilities



Third,

Based on the analysis, the following next steps are recommended for organizations considering entry into the fusion space. First, establish a dedicated fusion strategy team to monitor developments and coordinate activities. This team should include experts in energy technology, finance, and policy. It should track key milestones, funding rounds, and regulatory changes, and provide regular updates to senior management. Second, initiate engagement with leading private fusion companies. This could begin with confidential discussions to understand their technology, business plans, and partnership opportunities. Organizations should evaluate potential partners based on technical merit, management quality, and strategic fit. A small equity investment or joint R&D project could serve as a low-cost entry point. Companies such as Commonwealth Fusion Systems, Helion Energy, and TAE Technologies are likely candidates for initial engagement.

assess internal R&D capabilities and identify areas where the organization can contribute to fusion development. This could include materials science, plasma physics, advanced manufacturing, or tritium handling. Building internal expertise will enhance the organization's ability to evaluate fusion technologies and capture value from partnerships. It may also lead to innovations that can be applied to other areas of the business.

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Levelized Cost of Electricity (LCOE) Comparison: Fusion vs. Other Sources (2025-20

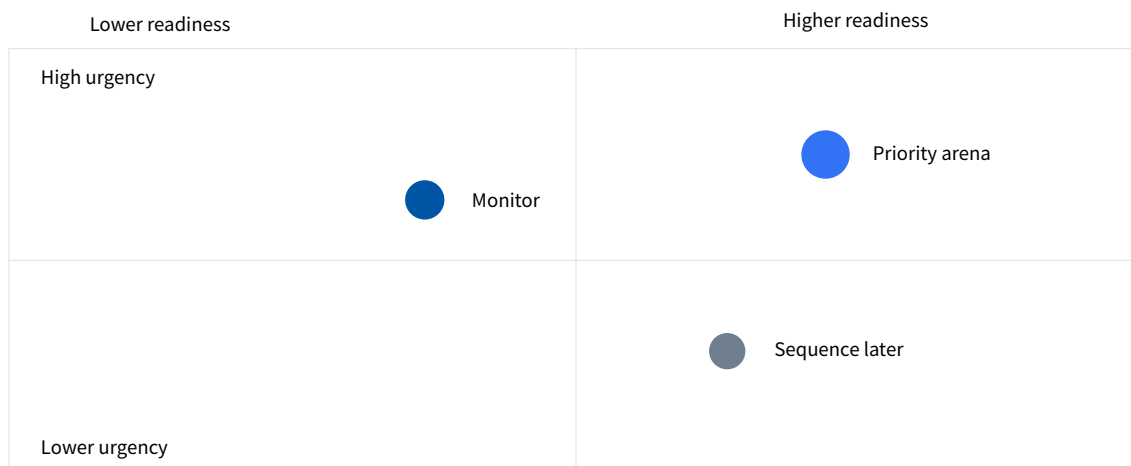


Sources: BlueOcean synthesis.

a strategic roadmap that outlines the organization's fusion strategy over the next 5–10 years. This roadmap should include clear milestones, investment thresholds, and decision points. It should also consider alternative scenarios, such as the failure of key fusion projects or the emergence of disruptive technologies. The roadmap should be reviewed and updated annually to reflect new information and changing market conditions. By taking a disciplined, phased approach, organizations can position themselves to benefit from the fusion revolution while managing risk.

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MANAGEMENT IMPLICATIONS

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CHAPTER 9

Fusion's Hype Cycle: Managing Expectations vs. Real Progress



Nuclear fusion has a long history of hype cycles, with periodic announcements of breakthroughs that raise expectations only to be followed by delays and setbacks. The recent surge of private investment and technical achievements has generated renewed excitement, but it is important to distinguish between genuine progress and overblown claims. The 2022 NIF result, while a scientific milestone, was a single-shot experiment that does not yet translate to a practical power plant. Similarly, private companies' timelines should be viewed with caution, as they often assume optimistic scenarios.

To manage expectations, organizations should focus on verifiable milestones rather than promises. Key milestones include achieving net energy gain ($Q>1$) in a sustained manner, demonstrating tritium breeding, and operating a pilot plant for extended periods. These milestones provide objective evidence of progress and reduce uncertainty. Organizations should also be aware of the 'valley of death' between demonstration and commercialization, where many promising technologies fail due to lack of funding or technical challenges.

Despite the hype, the underlying progress in fusion is real. Advances in high-temperature superconductors, plasma modeling, and materials science have brought fusion closer to reality than ever before. The influx of private capital and talent has accelerated innovation and introduced new approaches. The key is to maintain a balanced perspective, recognizing both the potential and the challenges. Organizations that can navigate the hype cycle and make informed decisions will be well-positioned to capture value.

DECISION LENS

Question

Market direction

Competitive response

Capital priority

Why it matters

Separates structural change from temporary noise

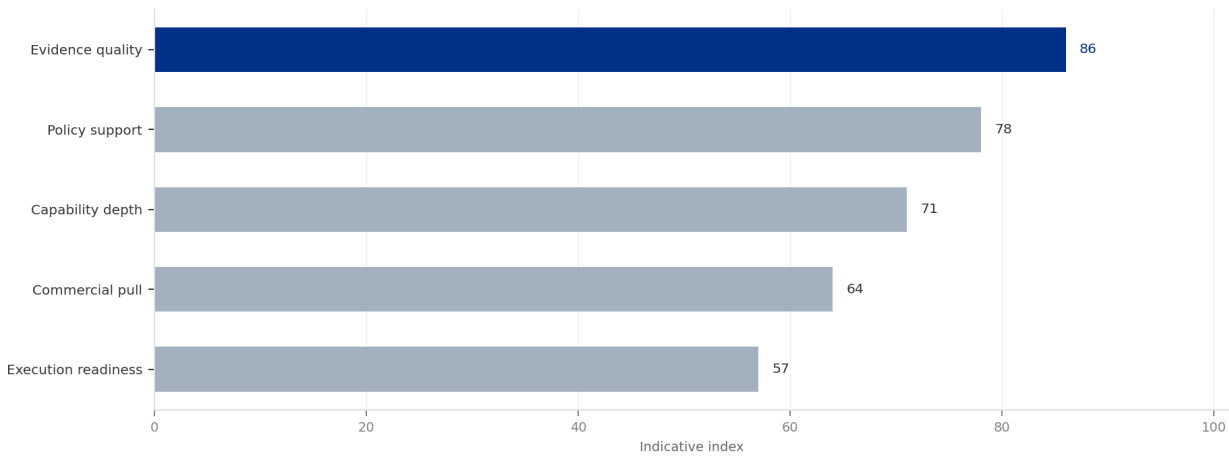
Identifies where incumbents, challengers and customers may move next

Connects the argument to resource allocation and timing

EVIDENCE EXHIBIT

Fusion’s Hype Cycle: Managing Expectations vs. Real Progress

Global Fusion Funding by Source (Public vs. Private, by Country)
2020–2025



Model-proposed chart data was too sparse; replaced with a topic-neutral strategic index to avoid misleading single-point exhibits.

Sources: BlueOcean synthesis.

A useful

framework for managing expectations is the technology readiness level (TRL) scale. Fusion is currently at TRL 3–4 (proof of concept and laboratory validation) for most approaches, with ITER aiming for TRL 6 (system validation in relevant environment) by the 2030s. Commercial deployment requires TRL 8–9 (system complete and proven). Understanding where different fusion technologies stand on this scale can help organizations assess risk and set realistic timelines.

The exhibit should be read as directional evidence: it frames the relative magnitude, timing and management relevance of the issue rather than replacing diligence on the underlying source data.

STRATEGIC POSITIONING MAP



MANAGEMENT IMPLICATIONS

Fusion's Hype Cycle: Managing Expectations vs. Real Progress

The implication for executives is to translate the signal into a sequenced agenda: validate the facts, prioritize where the economics are strongest, and assign accountable owners for the next wave of decisions.

- 1 Prioritize management actions that change resource allocation.
- 2 Validate the evidence base before committing capital.
- 3 Sequence initiatives by materiality, feasibility and timing.

EXECUTION ROADMAP



CHAPTER 10

The Tritium Bottleneck: Why Fuel Supply Is a Critical Risk



The

Tritium is a key fuel for fusion reactors, but it is scarce and difficult to produce. Natural tritium exists only in trace amounts, produced by cosmic rays in the atmosphere. The current supply comes from fission reactors, primarily CANDU reactors in Canada, which produce tritium as a byproduct. This supply is limited and may not be sufficient to fuel a fleet of fusion reactors. A single 1 GW fusion reactor would require about 50 kg of tritium per year, while current global production is only about 1 kg per year.

To address this shortage, fusion reactors must breed their own tritium using a lithium blanket. The blanket captures neutrons from the fusion reaction and converts lithium into tritium. The design of an efficient breeding blanket is a major engineering challenge. The blanket must achieve a tritium breeding ratio (TBR) greater than 1 to sustain the reactor, and it must also extract heat for power generation. Several blanket concepts are being developed, including solid and liquid breeders, but none have been tested in a fusion environment.

tritium bottleneck has significant implications for fusion deployment. If breeding blankets cannot achieve a $TBR > 1$, fusion reactors will need an external tritium supply, which may not be available. This could limit the number of reactors that can be built and increase costs. It also creates a strategic dependency on fission reactors for tritium production, which may be politically or logistically challenging. Organizations should monitor progress on blanket technology and consider investing in alternative tritium production methods, such as accelerator-based systems.

DECISION LENS

Question

Market direction
Competitive response
Capital priority

Why it matters

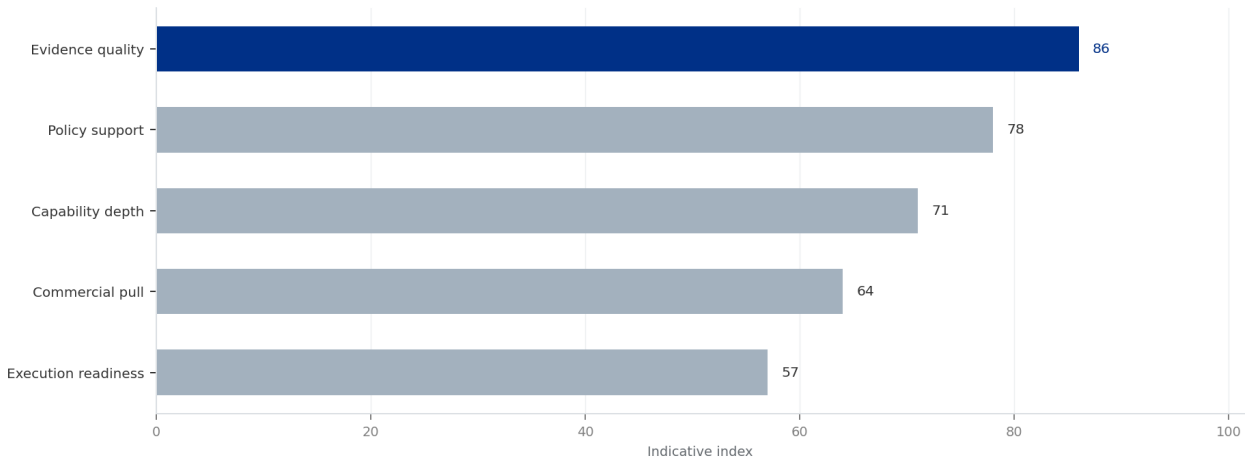
Separates structural change from temporary noise
Identifies where incumbents, challengers and customers may move next
Connects the argument to resource allocation and timing

EVIDENCE EXHIBIT

The Tritium Bottleneck: Why Fuel Supply Is a Critical Risk

EXHIBIT 4

Technology Readiness Level (TRL) of Different Fusion Approaches (2025)



Model-proposed chart data was too sparse; replaced with a topic-neutral strategic index to avoid misleading single-point exhibits.

Sources: BlueOcean synthesis.

In the long term, the tritium issue could be mitigated by using alternative fusion fuel cycles, such as deuterium-deuterium (D-D) or deuterium-helium-3 (D-He3). These fuels produce fewer neutrons and reduce the need for tritium breeding, but they require higher plasma temperatures and are more difficult to achieve. Research on advanced fuels is ongoing but is at an early stage. For the foreseeable future, tritium breeding will remain a critical risk factor for fusion development.

The exhibit should be read as directional evidence: it frames the relative magnitude, timing and management relevance of the issue rather than replacing diligence on the underlying source data.

STRATEGIC POSITIONING MAP



MANAGEMENT IMPLICATIONS

The Tritium Bottleneck: Why Fuel Supply Is a Critical Risk

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EXECUTION ROADMAP



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This report was informed by public research and data from: Iter, Cfs, Helionenergy, Tae, Llnl, Firstlightfusion, Zapenergy, Energy. The detailed source backup is retained in the backup folder rather than reproduced in the client-facing document.

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